

# **Bluefin Aquaculture Financial Review: Feed Procurement and Cost of Production 2025**

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## **Executive Summary**

This financial review analyses feed procurement and its effect on the cost of production at Bluefin Aquaculture for the 2025 financial year, which ended on 31 December 2025. Feed is the largest single cost of producing farmed salmon and the review was scheduled as part of the annual budget cycle.

The review found that feed cost per kilogram of harvested fish rose far faster than planned, partly because of world feed prices and partly because the company's main supplier invoiced a portion of fourth quarter volume at spot prices. Inventory records for feed are accurate. Two recommendations are made to protect the 2026 budget.

Three findings and two recommendations are presented. The Chief Financial Officer has accepted both recommendations.

## **Background**

Bluefin Aquaculture operates six marine grow-out sites and one hatchery and harvested 9,400 tonnes of salmon in 2025. Feed is purchased through the Feed Procurement Program, a program that sets annual volume commitments and contracted prices with the company's feed suppliers. The program is managed by the procurement manager and reviewed quarterly by the executive team.

NorthSea Feed Supply is the company's principal feed vendor and supplied 84 percent of feed volume in 2025 under a two-year supply contract. The contract sets a fixed price per tonne for a committed volume and allows the vendor to charge the spot price for volume above the commitment.

The Coral Bay Hatchery is the company's land-based smolt production facility and holds the largest feed inventory of any site. Feed deliveries, inventory and consumption are recorded in FarmLedger, the farm management and accounting system used at every site.

The review examined all feed invoices for 2025, the supply contract, the FarmLedger inventory records and the year-end physical counts, and interviewed the procurement manager and the site managers.

## **Findings**

Finding 1: Feed cost per kilogram of harvested fish rose 18 percent year on year, against a plan of 4 percent. Severity: High. About two thirds of the increase reflects higher world prices for fish meal and fish oil, which the company does not control. The remainder reflects a lower feed conversion ratio at two grow-out sites that experienced warm water in late summer, and the spot price invoicing described in Finding 2.

Finding 2: NorthSea Feed Supply invoiced 212 tonnes of feed at the spot price rather than the contracted price during the fourth quarter. Severity: Medium. The vendor treated the volume as exceeding the annual commitment, but the review found that the commitment had not been reached because two deliveries in March were recorded against the wrong contract year. The company has raised the discrepancy with the vendor.

Finding 3: Feed inventory at the Coral Bay Hatchery recorded in FarmLedger agreed to the physical count within 0.5 percent. Severity: Low. Counts at the six marine sites also agreed within tolerance. The review notes this as an effective control that supports the accuracy of the cost of production figures.

## **Recommendations**

Recommendation 1: Renegotiate the Feed Procurement Program volume commitment with NorthSea Feed Supply to lock in the contracted price for 2026 deliveries. Priority: High. The renegotiation should correct the contract year allocation of the March deliveries and set the 2026 commitment at the forecast biomass so that spot pricing is not triggered.

Recommendation 2: Configure FarmLedger to flag any feed invoice priced above the contracted rate before payment. Priority: Medium. The system already stores the contracted price per tonne, and the vendor of the system has confirmed that a price tolerance check can be enabled without customisation.

## **Financial Impact**

The annual feed spend for 2025 was \$2,760,000, compared with \$2,310,000 in 2024. Harvest volume rose by 6 percent over the same period, so most of the increase in spend reflects price rather than volume.

The spot price overcharge on the 212 tonnes invoiced outside the contract is USD 143,000. The company has requested a credit note for this amount and expects to recover it in the first quarter of 2026.

The Feed Procurement Program 2026 budget is \$3.1 million, which assumes the contracted price is restored for all volume. If spot pricing continues, the budget would be exceeded by roughly \$260,000.

## **Appendix**

Appendix A: Management response. The procurement manager accepts Recommendation 1 and has scheduled the renegotiation for March 2026. The Financial Controller accepts Recommendation 2 and will enable the price check by 31 March 2026.

Appendix B: Feed conversion ratio by site. The company-wide feed conversion ratio for 2025 was 1.24, compared with 1.18 in 2024. The two sites affected by warm water reported ratios of 1.36 and 1.33.

Appendix C: Distribution. This report is distributed to the Chief Executive, the Chief Financial Officer, the Head of Farming and the Audit Committee.